INTEGRITY OF CAPITAL MARKETS

Learning Outcomes

- evaluate practices, policies, and conduct relative to the CFA Institute Code of Ethics and Standards of Professional Conduct
- explain how the practices, policies, and conduct do or do not violate the CFA Institute Code of Ethics and Standards of Professional Conduct

Material Nonpublic Information

Members and Candidates who possess material nonpublic information that could affect the value of an investment must not act or cause others to act on the information.

Khatri

Khatri, a candidate in the CFA Program, plays on a local cricket team with his friends, including Patel, his brother-in-law and an attorney, and Ahuja, owner of a software development company called ZeroPower (ZP). Patel handles the legal work for ZP. Khatri, Patel, and many other friends in their circle have invested in ZP. Recently, a large global information technology company (GIT) made an offer to buy ZP at a substantial premium over the company's current share price. Patel is working with lawyers from GIT to assist in their due diligence.

One weekend, during a particularly intense period of negotiations, Khatri, Patel, and Ahuja are playing in a cricket tournament. Between matches, Khatri overhears Patel speaking with representatives of GIT on his cell phone. Although mention of a ZP acquisition is not made, Khatri hears Patel repeatedly reference the name "GIT." Khatri guesses that the acquisition of ZP is happening soon after seeing Patel and Ahuja huddled in private conversation several times over the course of the weekend. On Monday, Khatri calls his broker and increases his investment in ZP by 5,000 shares. One week later, ZP announces its acquisition by GIT and its share price increases 30%.

Khatri's actions are

A. a violation of the CFA Institute Code and Standards.
B. acceptable because Khatri's investment was based on his own speculation.
C. acceptable because Khatri received the information in a public environment.

Analysis

A is correct. Khatri comes into possession of material nonpublic information by overhearing confidential information from Patel's phone calls and witnessing Patel's interactions with Ahuja that were prompted by those calls. Standard II(A) Material Nonpublic Information prohibits CFA Institute members and candidates from taking investment action based on material nonpublic information in their possession. Patel should have been more careful to keep his phone conversations private, but his failure to do so does not allow Khatri to use material nonpublic information received from overhearing those conversations.

B is incorrect. Although information about the acquisition of ZP was not explicitly stated and Khatri was required to make some degree of deduction, he knew or should have known that this information was confidential, nonpublic, and material. His actions are different from mosaic theory, in which investment analysts combine nonmaterial and nonpublic information with public information in their analysis to derive insights.

Category
Ethics Application

Kwame

Kwame, CFA, is the chief financial officer of PH3D, a biotech firm that researches, develops, and commercializes pharmaceutical drugs for women's health. PH3D submits a drug application to the government regulator for a promising new drug. The regulator postpones two scheduled meetings with PH3D when unspecified deficiencies with the drug arise. The public announcement of the postponements results in a 10% drop in the company's stock price.

When the meeting between the regulator and PH3D finally takes place, PH3D presents unpublished preliminary test data with favorable indicators for the drug. The regulator reacts positively and gives PH3D provisional regulatory approval, contingent on further studies. Afterward, some of the sell-side research analysts covering PH3D ask Kwame about the meeting. Kwame responds by email, indicating that he believes the meeting with the regulator was "very positive and productive" and that the company was "pleasantly surprised" by the regulator's reaction. Kwame does not share the favorable preliminary test data. After Kwame's emails to the analysts, the company's stock price increases 19%.

Kwame's actions

A. violate the CFA Institute Code and Standards.
B. are appropriate because he does not share the unpublished preliminary test data with the analysts and restricts his comments to the general tenor of the meeting.
C. are appropriate because he responds to questions from research analysts covering the company.

Analysis

A is correct. This case relates to selective disclosure of material nonpublic information. Standard II(A) Material Nonpublic Information prohibits CFA Institute members and candidates from causing others to act on material nonpublic information. Information is material if its disclosure would affect the price of a security or if reasonable investors would want to know the information before making an investment decision. Information is "nonpublic" until it has been disseminated or made available to the marketplace in general, and Kwame's response to select sell-side analysts inquiring about PH3D's meeting with the regulator would not be considered public dissemination of the information. In this case, both the drug's positive preliminary test results and the regulator's positive reaction to the new drug is information that would have an impact on the price of the security in addition to information that reasonable investors would want to know.

B is incorrect. Although Kwame does not share the test results with the analysts, he shares that the meeting with the regulator was "very positive and productive." This is information that reasonable investors would want to know.

C is incorrect. Kwame shares this information with a select group of analysts who regularly cover PH3D and not the general investing public. The fact that Kwame is only responding to questions is irrelevant. Kwame and PH3D should have issued a public announcement about the meeting with the regulator before or at the same time that information was disclosed to analysts.

Market Manipulation

Members and Candidates must not engage in practices that distort prices or artificially inflate trading volume with the intent to mislead market participants.

Abbha

Abbha, CFA, is a securities contractor working to assist Superior Energy (SE) with listing its shares on the Regional Security Exchange (RSX). SE files a prospectus for an offer of up to 5 million shares at $2 each to raise $10 million. The RSX current applicable listing rule requires that entities seeking admission to the RSX meet a "minimum spread requirement" of at least 300 shareholders with a minimum value holding to qualify for

shareholders 31 people or companies arranged by Abbha, though none are actual buyers of SE securities. Abbha provides false names and addresses for the 31 shareholders. The SE share offer raises more than $3.5 million, with more than 1.75 million shares issued. SE is admitted to the official list of the RSX, with its shares quoted on the exchange. Over time, the price of SE shares steadily increases, the company attracts hundreds of investors and shareholders, and early investors achieve an excellent investment return.

Abbha's actions

A. violate the CFA Institute Code and Standards.
B. are acceptable because SE proved to be a strong company with excellent performance.
C. are acceptable because no investors were harmed by the technical violation of RSX rules.

Analysis

A is correct. Abbha engaged in information-based manipulation by inflating the number of initial shareholders in SE securities to create the impression that its shares would have sufficient liquidity and to give new investors comfort in buying them. Standard II(B) Market Manipulation prohibits CFA Institute members and candidates from engaging in practices that artificially inflate trading volume to mislead market participants. To circumvent regulatory requirements and drive investor interest, Abbha's misrepresentations overstated initial interest in SE securities, thereby creating false pretenses under which the company was listed.

B is incorrect. The fact that SE ultimately proved to be a bona fide and well-performing investment does not mitigate Abbha's unethical, misleading, and deceitful conduct.

C is incorrect. The purpose of the minimum spread requirement for RSX security listings is to demonstrate that investor interest in a company is sufficient to justify the company's listing. Th minimum spread requirement ensures some level of liquidity at the time a company is listed and prevents lower-quality applicants that are unable to attract sufficient investor interest from being listed. Falsifying the number of initial investors goes beyond a technical violation of RSX rules and has substantial consequences.

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